

Equity Trading: Intraday, Swing & Positional

Part of The Complete Indian Market Trader — Zero to Professional (India, 2026)

Pro-grade, India-first: NSE/BSE, F&O, worked ₹ examples, current 2026 rules

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Trading Styles & Timeframes: Choosing Yours

Why this matters

Retail traders lose money not because they can't read a chart — you already can — but because they trade a style that doesn't fit their capital, their clock, and their nervous system. A ₹50,000 account trying to scalp Bank Nifty is dead in a month; a working professional trying to intraday-trade with one eye on the screen and one on a Zoom call is a donor. The pro's first edge is *self-honesty about which game they can actually play well*. This chapter is about picking one game and staying in it. Style-drift — jumping timeframes mid-trade — is the single most common way a disciplined plan turns into a blown account.

The essentials

Indian markets run **09:15–15:30 IST** (pre-open 09:00–09:15; F&O and equity same session). Your "style" is really a bundle of holding period, screen-time, capital, and cost tolerance. Here is the honest map (rules as of July 2026 — verify on NSE/broker, they change):

Style	Holding	Screen time/day	Trades/mo	Min. realistic capital	Overnight risk	Cost sensitivity
Scalping	seconds–minutes	3–6 hrs, glued	200–1000+	₹5–10 L (F&O)	none	brutal — churn kills you
Intraday	minutes–hours, sq-off by 15:30	2–4 hrs active	20–60	₹1–3 L	none	high
BTST/ATST	1–2 days	30 min/day	8–20	₹1 L+	full gap risk	medium
Swing	3–15 days	20–30 min/day	6–15	₹1 L+	full gap risk	low
Positional	weeks–months	a few hrs/wk	2–8	₹2 L+	full + event	very low

Key India-specific facts that shape the choice:

- **Costs scale with frequency.** Intraday equity STT is 0.025% on the sell side (from 01-Apr-2026); delivery is 0.1% buy *and* sell. Add brokerage, exchange txn, SEBI fee, stamp duty, and **18% GST on brokerage+txn**. A scalper crossing the spread 40 times a day is fighting a heavy cost drag; a swing trader holding 8 days barely feels it.
- **Overnight = gap risk.** BTST/swing/positional trades are exposed to news, US markets, and SGX Nifty/GIFT Nifty moves. Delivery settles **T+1** (T+0 optional beta on select stocks). You cannot sell what hasn't settled for intraday-style flips beyond the rules.
- **Tax follows style.** Intraday equity = **speculative business income**; F&O = **non-speculative business income**; delivery held and sold = **STCG/LTCG**. Speculative losses carry forward 4 years, non-speculative 8. Your style literally changes your ITR-3 treatment (FY2026-27).
- **Leverage is capped.** Peak-margin is fully enforced; no intraday leverage beyond broker limits. Scalping/intraday do NOT give you a magic multiplier anymore — that era ended.

Worked example: the cost drag by style

Take a ₹2,00,000 account, ~₹1,00,000 deployed per position.

Scalper aiming for 0.15% net per trade, 15 trades/day, 20 days = 300 trades/month. Round-trip cost on a ₹1 L intraday equity position is roughly ₹30–45 (brokerage ₹20 flat both legs + STT ₹25 on sell of ₹1L @0.025% + txn + GST + stamp). Call it ₹40/trade × 300 = **₹12,000/month of pure cost** — 6% of the account gone before a single rupee of profit. To break even you must be right *and* big enough to overcome it. This is why 90%+ of scalpers bleed.

Swing trader, same account, 10 trades/month, holding 6–8 days. Delivery round-trip cost on ₹1 L is higher per trade (~₹250, mostly STT 0.1%+0.1% and stamp) but only 10 trades = **₹2,500/month**, 1.25% drag. A single clean 4% swing (₹4,000) covers 1.5 trades' worth of costs. The math *permits* profitability.

Same skill, same charts — the timeframe alone decides whether costs are survivable.

How pros do it / common mistakes

How pros do it: - They pick **one primary style** and one **backup** (e.g., intraday primary, swing backup for trending days), and they *never* let a losing intraday trade become a "positional investment." That conversion — moving the stop to "let's hold it" — is style-drift, and it's how a ₹3,000 intraday loss becomes a ₹40,000 overnight disaster. - They match style to their **actual calendar**. If you have a day job, intraday is a trap; you'll take rushed entries and miss exits. Swing/positional is built for you — set-and-alert. - They size for the **worst normal day**, not the best. A scalper's edge is thin and needs volume + tight spreads (Nifty, Bank Nifty, top-50 stocks) — not illiquid mid-caps where the spread eats the edge.

Classic retail errors & red flags: - **Timeframe hopping** — entering intraday, then holding overnight when it goes against you. #1 account killer. - Trading a style your capital can't support (scalping a small account into oblivion via costs). - Believing "more trades = more money." Frequency multiplies *costs and mistakes*, not edge. - Choosing based on YouTube dopamine (scalping looks exciting) rather than fit. - Ignoring the tax/audit implications until March.

Checklist / drill

Self-assessment — answer honestly, score yourself:

1. **Screen time:** Can I watch live charts undistracted for 2+ hours in the 09:15–11:00 window? (No → rule out scalping/intraday.)
2. **Capital:** Is my risk capital ≥ ₹2 L and can I lose 20% of it without lifestyle impact? (No → swing/positional, small size.)
3. **Temperament:** Do rapid-fire decisions energize or panic me? Can I click a stop-loss without hesitation?
4. **Cost tolerance:** Have I calculated my all-in round-trip cost on my typical position, in rupees? (If not, do it before your next trade.)
5. **Overnight nerves:** Can I sleep holding a position through a possible 2% gap-down? (No → intraday only.)
6. **Calendar:** Does my job/life actually permit mid-day exits?

Drill: For the next 20 trading days, write your intended style on a card and tape it to your monitor. Log every trade against it. At month-end, count how many trades *drifted* (intraday held overnight, swing exited in an

hour out of boredom). If drift > 15%, you don't have a style yet — you have impulses. Fix that before adding capital.

Rules and rates as of July 2026 — verify current STT, margins, and tax on NSE/your broker/SEBI before trading.

Intraday Systems: ORB, VWAP & Momentum

Why this matters

You already know candlesticks and indicators. What separates a pro intraday trader from a chart-literate loser is having a **defined system** — a repeatable setup with entry, filter, stop, and target written *before* the market opens — instead of reacting to every wiggle. The retail gap here is discretion masquerading as skill: "it looked like it was breaking out." Pros trade three or four battle-tested Indian-market patterns — Opening-Range Breakout (ORB), VWAP trades, momentum/relative-strength, and gap-and-go — with mechanical rules. This chapter gives you those rules and the India-specific filters that keep them from firing on noise.

The essentials

All times IST; session 09:15–15:30. Rules as of July 2026 — verify on NSE/broker.

1. Opening-Range Breakout (ORB). Define the range as the high/low of the first **N minutes** after 09:15 — commonly the 15-minute range (09:15–09:30). A break *and close* above the range high (with volume) = long; below the low = short. Best on **Bank Nifty** (high range, trends hard) and momentum stocks. The opening range on an index future or liquid stock reflects the overnight order imbalance; a genuine break of it is institutions repricing.

2. VWAP (Volume-Weighted Average Price). VWAP is the intraday "fair value" line institutions benchmark against. Two distinct plays: - **VWAP trend / anchored VWAP:** In a trending session, price holds *one side* of VWAP. Buy pullbacks to VWAP in an uptrend, sell rallies to it in a downtrend. VWAP acts as dynamic support/resistance. - **VWAP mean-reversion:** In a range-bound, choppy session (common mid-day), price stretched far from VWAP (e.g., > 1 standard-deviation band) snaps back. Fade the extreme *only* when there's no trend. The trap: using the same VWAP tactic in the wrong regime. Trend days punish mean-reversion; range days punish breakout-chasers.

3. Momentum / Relative Strength (RS). Rank stocks vs the index. On an up day, buy the stock *outperforming* Nifty (rising while Nifty is flat = leader); short the laggard on a down day. RS is measured simply: stock's % change vs Nifty's % change since open. Leaders keep leading intraday.

4. Gap-and-Go. A stock/index gapping up on news at 09:15, holding above the gap in the first 5–15 min, then breaking the opening-5-min high = continuation long. A gap that *fills* (fades back to prior close) fails the setup — don't chase.

Filters that matter in India:

Filter	Why
Trade liquid names only (Nifty, Bank Nifty, F&O top-50)	spreads eat illiquid intraday edges
Volume confirmation on breakout	low-volume breaks are traps
Avoid 12:00–13:30 chop unless mean-reverting	mid-day thins out
Skip first 3–5 min raw print	opening auction noise
No new intraday entries after ~14:45	not enough time to work; square-off pressure
Event days (RBI policy, Budget, expiry)	separate rules — expect whipsaws

Worked example: ORB on Bank Nifty futures

Date-stamped hypothetical, July 2026. Bank Nifty futures (lot size **15**, tick ₹0.05; **verify current lot on NSE** — F&O lot sizes revise). Say the future opens and the **09:15–09:30 range** forms: - Range high: **52,180** - Range low: **51,940** - Range width: 240 points

At 09:34 the 5-min candle **closes at 52,205**, above the range high, on visibly rising volume, with Nifty also green (index confirmation). **Entry long at 52,210.**

- **Stop:** just below the range high that it broke, or below the breakout candle low — say **52,120** (90 points risk). Some use the range midpoint; tighter = more whipsaw.
- **Risk per lot:** $90 \text{ pts} \times 15 \times ₹1$ (Bank Nifty futures point = ₹1 per index point per unit; $₹1 \times 15 = ₹15/\text{point/lot}$) = $90 \times 15 = ₹1,350 \text{ risk/lot}$.
- **Target:** measured move = range width projected = 240 pts → target **52,450** (1st), or trail with VWAP. $240 \text{ pts} \times 15 = ₹3,600 \text{ reward/lot}$. Reward:risk $\approx 2.7:1$.

Costs (futures, from 01-Apr-2026): STT $\sim 0.05\%$ on sell side. Sell value $\approx 52,450 \times 15 = ₹7,86,750 \rightarrow \text{STT} \approx ₹393$; plus brokerage ($\sim ₹40$ both legs), exchange txn, SEBI, stamp, **18% GST on brokerage+txn**. All-in round-trip $\approx ₹500\text{--}600/\text{lot}$. On a ₹3,600 winner that's $\sim 15\%$ cost drag — meaningful, so the setup must have real edge, not a 1:1 target.

If instead the 09:34 candle closed at 52,150 (back inside the range) — **no trade**. The break must *close* outside with volume. Chasing the wick is the retail error.

How pros do it / common mistakes

Pros: - Pre-mark the opening range and VWAP before 09:30; know their setups by name and wait. - Demand **confluence:** ORB + index confirmation + volume + RS all pointing the same way. One signal alone is a coin flip. - Match tactic to **regime:** trend day → VWAP trend & ORB; range day → VWAP fade; never both. - Size by rupee risk (fixed % of capital), not by "lots I feel like."

Retail mistakes / red flags: - Trading ORB on a **gap-and-fill** morning — the range is meaningless. - Fading VWAP on a strong trend day and averaging into a runaway loss. - Chasing breakouts *after* the move (entering at 52,300, not 52,210) — worse R:R. - Trading illiquid mid-caps where the 15-min range is 3 ticks wide. - Ignoring expiry-day gamma whipsaws and RBI-day fake breaks. - Over-trading the noon chop out of boredom.

Checklist / drill

Pre-market (before 09:15): mark prior close, gap size, key levels; note event calendar (RBI/expiry/results).

At 09:30: draw the opening range; note VWAP; identify 2–3 RS leaders/laggards vs Nifty.

Before any entry, tick all: - ☐ Which named system is this (ORB / VWAP-trend / VWAP-fade / momentum / gap-and-go)? - ☐ Regime matches the tactic (trend vs range)? - ☐ Volume confirms? - ☐ Index agrees (Nifty direction)? - ☐ Stop level and rupee risk written down ($\leq 1\text{--}2\%$ of capital)? - ☐ Reward:risk $\geq 2:1$ after costs? - ☐ Time is before 14:45?

Drill: For 10 sessions, paper-trade *only* the 15-min ORB on Bank Nifty with the rules above — no other setups. Log break-close-above vs wick-only, and whether volume confirmed. You'll learn to feel the difference between a real break and a trap before risking a rupee.

Rates, lot sizes, and rules as of July 2026 — verify on NSE/your broker/SEBI; they change.

Intraday Tactics: Entries, Stops, Targets, Time-of-Day

Why this matters

A good system (ORB, VWAP, momentum) tells you *what* to trade. Tactics tell you *how* to execute it — where exactly to enter, where the stop truly belongs, how to scale out, and *when* in the session the setup is even valid. This is the layer where retail traders quietly lose the edge their system gave them: they enter late, place stops where everyone else's stops are (so they get hunted), take profit too early on winners and hold losers, and trade the dead noon hours out of boredom. The pro's edge is precision and time-awareness. The Indian session has a distinct rhythm — the open is violent, mid-day is a trap, the close is its own game — and trading each hour the same way is a slow bleed.

The essentials

Session 09:15–15:30 IST. Rules/rates as of July 2026 — verify on NSE/broker.

Time-of-day map (typical, not guaranteed):

Window	Character	What works
09:15–09:20	Auction noise, wild ticks	<i>Wait.</i> Don't trade the first print.
09:20–10:30	Highest volatility & volume; trends are born	ORB, gap-and-go, momentum — your best window
10:30–11:30	First trend matures or reverses	VWAP pullback entries, trend continuation
11:30–13:30	Mid-day chop — thin, range-bound, stop-hunts	VWAP mean-reversion <i>only</i> ; mostly sit out
13:30–14:45	Trend resumes / afternoon move	continuation, VWAP trend
14:45–15:20	Positioning into close; MTM squaring	close-momentum plays for pros; no fresh late entries for beginners
15:20–15:30	Square-off scramble	exit intraday; avoid new risk

Entries — be precise: - Enter on the **break-and-close** of your level (5-min close), or on a **retest** of the broken level (lower risk, sometimes you miss). Never chase 0.4% *after* the move. - Use **limit or stop-limit** orders near your level; market orders on illiquid names bleed the spread.

Stops — where they belong: - Put the stop where the *setup is proven wrong*, not at a round rupee amount. For an ORB long, that's below the range/breakout candle. For a VWAP long, below VWAP. - Avoid the **obvious cluster** (exactly at the round number or the visible swing low) — market-makers hunt those. Give it a few ticks of buffer. - The stop defines your **rupee risk**, and rupee risk must be $\leq 1\text{--}2\%$ of capital. Size the position *from* the stop, never the reverse.

Targets & exits: - **Measured move** (range width projected) or **prior swing / VWAP band** as first target. - **Scale out:** book half at 1st target (locks the trade to breakeven or better), trail the rest with VWAP or a moving stop. This beats all-or-nothing exits emotionally and mathematically. - Move stop to breakeven only after a *real* buffer, not the instant you're 5 points green (that just gets you stopped on noise).

Index vs stock behaviour: Nifty/Bank Nifty are smoother, mean-revert more, and respect VWAP; single stocks trend harder and gap on stock-specific news but can be manipulated intraday and have wider spreads. RS leaders move *before* the index confirms.

Worked example: a full session plan

Capital ₹3,00,000; max risk **1% = ₹3,000/trade**. Trading a liquid F&O stock, say Reliance (illustrative; **verify current F&O lot size on NSE** — say lot ~250, tick ₹0.05).

09:15–09:30: Reliance opens 2,940, prior close 2,935 (small gap up). Opening range: high **2,952**, low **2,930**. Nifty flat-to-green. I wait.

09:41: 5-min candle closes **2,955**, above range high, volume above the morning average, and Reliance is up +0.7% vs Nifty +0.2% (RS leader). **Long entry 2,956**. - Stop below breakout candle low / range high: **2,944** (12 pts risk). - Position size: $₹3,000 \div 12 = 250$ shares = **1 lot**. Rupee risk $\approx 12 \times 250 = ₹3,000$. ✓ - Target 1: measured move = range width 22 pts → **2,977**; Target 2: trail with VWAP.

10:05: hits 2,977. **Book 125 shares** (+₹2,625 gross), move stop on the rest to **2,956 (breakeven)**. Now the trade cannot lose.

10:40: trails up, VWAP rising under price. Trend stalls; trailing stop at **2,970** hit at 11:15 on the remaining 125 → +₹1,750 gross. **Total gross $\approx$ ₹4,375**.

Costs (intraday equity, sell-side STT 0.025% from 01-Apr-2026): on ~₹7.4 L turnover per side, brokerage (~₹40), STT ~₹185 on sell, exchange txn + SEBI + stamp + **18% GST** → all-in $\approx$ **₹450–550**. **Net $\approx$ ₹3,850**. One clean trade > 1% of capital, risking 1%.

Mid-day 11:30–13:30: market goes sideways, VWAP flat. **No trades** — I don't manufacture setups in chop. This is where the discipline is.

No fresh entries after 14:45. Done for the day after one A+ trade.

How pros do it / common mistakes

Pros: - Trade the **first 90 minutes** hard and the **noon hours** barely at all. - Predefine entry/stop/target *in rupees* before clicking; the order is placed, not agonized over. - **Scale out** to bank certainty and let a runner run. - Accept 1–2 quality trades a day. Flat is a position.

Retail mistakes / red flags: - **Revenge trading:** stopped out, immediately re-enter bigger to "get it back." This is how a ₹3,000 loss becomes ₹15,000. If you're angry, you're done for the day. - **Over-trading the chop** — 8 trades between 12 and 1:30, all costs, no edge. - Stops at round numbers / obvious lows → hunted. - Widening the stop when price approaches it ("just give it room") — the cardinal sin. - Booking winners at + ₹500 but holding losers to -₹5,000 (inverted R:R). - Moving to breakeven on 3 points of noise, getting shaken out before the real move.

Checklist / drill

Before each trade: entry level ✓, stop level (where setup is wrong, buffered off the cluster) ✓, position size from rupee risk $\leq 1\%$ ✓, target(s) + scale-out plan ✓, time-of-day appropriate ✓, R:R $\geq 2:1$ after costs ✓.

Hard rules card: - ☐ Max **2 losing trades** → stop for the day. - ☐ Max **3 trades** total per session (beginner).
- ☐ No entries 09:15–09:20 or after 14:45. - ☐ Never widen a stop. Ever. - ☐ Never re-enter within 10 min of a stop-out (breaks the revenge loop).

Drill: For 10 sessions, log every trade with its *time-of-day bucket* and outcome. Tally net P&L by bucket. Almost everyone finds the 11:30–13:30 bucket is negative. Then simply stop trading that window — an instant edge with zero new skill.

Rates, lot sizes, and rules as of July 2026 — verify on NSE/your broker/SEBI; they change.

Swing Systems: Pullbacks, Breakouts & Bases

Why this matters

Swing trading — holding 3 to 15 days — is the most *capital-and-life-friendly* style for most Indians: 20–30 minutes of chart work after 15:30, low cost drag, and setups that don't require staring at a screen. You already know patterns and indicators. The pro gap this closes is **structure and patience**: entering on confirmation instead of anticipation, placing stops under real structure instead of an arbitrary percentage, and sizing so an overnight gap can't wreck you. Retail swing traders lose by buying every dip (catching falling knives), chasing extended breakouts, and holding through earnings hoping. Swing trading rewards those who wait for the market to *prove* the setup and then get out of the way.

The essentials

Rules/rates as of July 2026 — verify on NSE/broker/SEBI.

Three core swing setups, all traded **with the higher-timeframe trend** (daily chart, in the direction of the 50-DMA slope):

1. Trend pullback. In an established uptrend (higher highs/lows, price above rising 20/50-DMA), price pulls back to support — a moving average, a prior breakout level, or a Fibonacci retracement (38.2–61.8%) — then shows a **reversal confirmation** (bullish engulfing, hammer, or a close back above a short MA). Enter on the confirmation candle's close or a break of its high. You're buying a temporary discount in an ongoing trend, not calling a bottom.

2. Breakout from a base. Price consolidates in a tight range/rectangle for days-to-weeks (a "base"), volatility contracts, volume dries up — then breaks out on **expanding volume**. The base is accumulation; the breakout is demand overwhelming supply. Enter on the breakout *close* above resistance, ideally with volume $\geq 1.5 \times$ the 20-day average. Tight bases (small % range) give the cleanest, lowest-risk entries.

3. Flag / consolidation continuation. After a strong up-move (the "pole"), price drifts sideways or gently down in a small flag for a few days on declining volume, then resumes. Enter on the break of the flag's upper boundary. Measured target = pole height added to breakout point.

Stops & targets: - **Stop under structure:** below the pullback swing low, below the base, or below the flag low — the level that, if broken, means the setup failed. Never a flat "8% stop" unrelated to the chart. - **Target by measured move** (base depth or flag pole projected) **or ATR multiple** (e.g., 2–3 $\times$ the 14-day ATR from entry). Use a **trailing stop** (below each new higher low, or under the 10/20-DMA) to ride extended winners.

India-specific swing realities:

Factor	Detail
Overnight/gap risk	full exposure to news, US/GIFT Nifty, sector events — size for it
Earnings	never hold a full swing position through results unless that's the thesis; gaps are brutal
Cost	delivery STT 0.1% buy + 0.1% sell (01-Apr-2026) + stamp + brokerage + GST — low per-trade drag over 8 days
Settlement	equity T+1 ; shares in demat (NSDL/CDSL) before you can sell
Tax	delivery = STCG (held ≤ 12 months) at applicable rate; report as capital gains, or as business income if that's your pattern — verify FY2026-27 treatment
MTF	Margin Trading Facility available for delivery if you want leverage — but interest cost + gap risk compounds

Worked example: a base-breakout swing over several days

Capital ₹5,00,000; risk **1.5% = ₹7,500/trade**. Stock trading in delivery (illustrative numbers).

A quality large-cap has based between **₹1,180–₹1,220** for 3 weeks; 50-DMA rising beneath at ₹1,150; volume contracting.

Day 0 (entry trigger): Daily candle **closes ₹1,232**, clearing the ₹1,220 base top, volume **1.8× the 20-day average** — valid breakout. **Buy 400 shares at ₹1,233** (T+1: shares in demat next day). - **Stop:** below the base / breakout level, buffered — **₹1,196** (₹37 risk/share). Rupee risk = $37 \times 400 = ₹14,800 \rightarrow$ too big. **Cut size to 200 shares:** risk $37 \times 200 = ₹7,400 \approx 1.5\%$. ✓ (Position sizing bows to the stop, always.) - **Target 1:** measured move = base depth ₹40 $\rightarrow$ **₹1,272**; **Target 2:** ATR-based / trail.

Day 2: gaps to ₹1,255 on sector strength. Hold. **Day 4:** touches **₹1,274**. Book **100 shares** (+₹4,100 gross), trail stop on the rest to **₹1,233 (breakeven)**. Trade is now risk-free. **Day 7:** rides to ₹1,298; trailing stop under the last higher-low at **₹1,270**. **Day 9:** minor pullback hits ₹1,270 $\rightarrow$ exit remaining 100 (+₹3,700 gross). **Total gross $\approx$ ₹7,800.**

Costs (delivery): STT 0.1% each side on $\sim$ ₹2.5 L turnover $\approx$ ₹250 buy + ₹255 sell, plus stamp (0.015% buy), brokerage/GST $\rightarrow$ all-in $\approx$ **₹650–750**. **Net $\approx$ ₹7,050 over 9 days**, risking ₹7,400 — a clean $\sim 1:1$ -plus on risk with the runner covering costs many times over. Note the low cost drag vs the intraday chapters: **9% here vs 15%+ scalping.**

Had it instead closed back inside the base on Day 0 (a **failed breakout**), the stop at ₹1,196 caps the loss at ₹7,400 — planned, survivable.

How pros do it / common mistakes

Pros: - Trade **with the daily trend**, only the cleanest 1–2 setups a week — not every stock in the F&O list. - Enter on **confirmation + volume**, never on anticipation of a breakout that hasn't happened. - Stop under **structure**, size from the stop, and **check the earnings calendar** before entry — flat into results unless that's the trade. - Scale out and **trail** to turn a few big winners into the month (swing P&L is fat-tailed — a handful of runners carry the year).

Retail mistakes / red flags: - **Catching falling knives:** buying a downtrend pullback with no confirmation ("it's cheap now"). - Chasing an **extended** breakout 8% above the base — stop is now miles away, R:R ruined. - Buying breakouts on **weak volume** (traps that fail). - **Holding through earnings** and eating a 12% gap-down. - Arbitrary % stops unrelated to the chart → stopped on normal noise or too wide. - Turning a losing swing into a "long-term investment" — the swing version of style-drift.

Checklist / drill

Before entry: - ☐ Daily trend aligned (price above rising 20/50-DMA for longs)? - ☐ Named setup: pullback / base-breakout / flag? - ☐ **Confirmation** printed (reversal candle or breakout *close*), not anticipated? - ☐ Volume confirms (breakout $\geq 1.5 \times$ avg; pullback drying up)? - ☐ Stop under **structure**; rupee risk $\leq 1.5\text{--}2\%$ of capital? - ☐ Position size derived **from the stop**? - ☐ **No earnings** before intended exit (checked the calendar)? - ☐ Target (measured move / ATR) and trailing plan written?

Drill: Scan the daily charts of the Nifty 50 each weekend. Find **three** stocks in a tight base or clean pullback. Mark the exact trigger, stop, and target on each. Don't trade — just track for the next two weeks whether the breakout confirmed with volume or failed. After a month you'll recognise a *real* base-breakout on sight and stop chasing the fakes that empty retail accounts.

Rates, lot sizes, and tax rules as of July 2026 — verify on NSE/your broker/SEBI; they change.

Positional Trading & Trend Following

Why this matters — the pro vs retail gap this closes

Retail traders live inside the 5-minute chart. They scalp, they overtrade, they pay STT and brokerage 40 times a day, and they wonder why a "70% win-rate" system still bleeds. The professional edge in Indian equities over a career is captured mostly by a handful of multi-week and multi-month trends — the 2023-24 PSU and defence run, the 2020-21 pharma and IT surge, the capex/railways theme, individual movers like a stock that goes from ₹400 to ₹1,200 over eight months. Positional trend following is how you hold those moves without getting shaken out on every 3% dip.

The gap this closes: retail books a 6% winner because "profit is profit," then watches it become a 60% winner they missed. Pros do the opposite — they cut losers fast and let winners run for months, accepting many small losses to catch the few 3x-5x moves. This chapter is about the *holding* discipline, position building, and the tax-aware structure (delivery + LTCG) that makes it work in India.

The essentials — India-specific mechanics

Instrument and settlement. Positional trend following in equities is done in the **cash/delivery segment** (shares hit your NSDL/CDSL demat, T+1 rolling settlement as of 2026 — *verify on NSE/broker, rules change*). You are NOT rolling futures every month, so you avoid roll costs and the ~₹ margin drag. You own the stock.

Cost structure (from 01-Apr-2026, Budget 2026 — verify on NSE/SEBI):

Item	Delivery equity
STT	0.1% on buy + 0.1% on sell
Brokerage	₹0 (many discount brokers on delivery) to 0.3%
Exchange txn + SEBI + GST (18% on brokerage+txn) + stamp duty	small, few bps

Because you trade rarely (a handful of entries a year per position), these costs are trivial versus an intraday churner.

Tax structure (FY2026-27 — verify with a CA): - Held > **12 months** → **LTCG**, taxed at the applicable LTCG rate with the annual exemption; this is the tax home of trend following. A stock held 14 months that triples is taxed gently. - Held ≤ **12 months** → **STCG** at the applicable STCG rate. - Delivery is treated as capital gains (if that is your consistent treatment), NOT business income — cleaner than F&O.

The trailing toolkit (you already know the indicators; here is how pros *use* them positionally): - **Moving-average trail:** hold above the 20-week EMA (or 50-DMA) on a weekly close. Exit only on a decisive weekly close below. - **ATR chandelier trail:** stop = highest-high-since-entry – (3 × 14-period ATR). Widens in volatile stocks, tightens in calm ones. - **Structure trail:** exit when price makes a lower-high AND lower-low on the daily/weekly (trend structure breaks).

Worked example — a positional trend trade

Setup. Stock XYZ (F&O + cash, highly liquid) breaks a 9-month base at **₹500** on heavy weekly volume, relative strength rising vs Nifty. Capital allocated: **₹5,00,000**. Risk per trade: **1.5% of ₹5,00,000 = ₹7,500**.

Initial entry (scale-in plan). Enter one-third first. - Buy 1: 330 shares $\times$ ₹500 = **₹1,65,000**. - Initial stop: weekly close below ₹465 (below the breakout pivot). Risk per share $\approx$ ₹35 $\rightarrow$ 330 $\times$ ₹35 = **₹11,550** open risk. Slightly above budget, so trim to 215 shares (215 $\times$ ₹35 = ₹7,525). Buy 1 = **215 shares @ ₹500 = ₹1,07,500**.

Pyramiding (adding to a winner — the core skill). Add only as the trend confirms and only if the *new* stop keeps total risk bounded. - Price runs to **₹560**; move stop on the first tranche up to **₹520** (locks in ₹20/sh, $\approx$ breakeven-plus). Now add tranche 2: **150 shares @ ₹560**, stop ₹520 $\rightarrow$ new-lot risk 150 $\times$ ₹40 = ₹6,000. Blended stop keeps total risk near budget because tranche 1 is now house money. - Price runs to **₹640**; raise combined stop to **₹590**. Add tranche 3: **120 shares @ ₹640**.

Position now: 215 + 150 + 120 = **485 shares**, avg $\approx$ ₹552, invested $\approx$ **₹2,67,700**.

Trailing the runner. Use a weekly 20-EMA trail plus a 3 $\times$ ATR chandelier. Over the next 7 months the stock grinds to **₹980** with two scary 12-15% dips — both hold above the weekly 20-EMA, so you sit tight. On month 8 the stock closes a week decisively below the 20-EMA at **₹910**.

Exit. Sell 485 @ ₹910 = **₹4,41,350**. Gross gain = ₹4,41,350 – ₹2,67,700 = **₹1,73,650** on ₹2.68L deployed. Held > 12 months on the first two tranches $\rightarrow$ LTCG treatment on that portion; tranche 3 (~8 months) is STCG. STT+charges on the round trip are a few thousand rupees — immaterial next to the gain.

The trade paid because you (a) added into strength instead of averaging down, (b) never let total risk blow past ₹7,500-ish, and (c) *sat through* the dips.

How pros do it / common mistakes

Pros: - Add to winners, never to losers. Pyramiding up; averaging down is how retail turns a 5% loss into a 40% loss. - **Trail on the higher timeframe.** Positional decisions on weekly closes, not intraday noise. Checking the position every hour guarantees you exit early. - **Position size off volatility (ATR), not gut.** A ₹2,000 stock and a ₹200 stock get different share counts for the same rupee risk. - **Let the LTCG clock work for you** — the 12-month mark is a *tax* reason to keep holding a healthy trend, not a reason to sell a broken one.

Classic retail errors / red flags: - Booking winners at +8% "to be safe" while holding losers "till they recover." - Pyramiding into a *falling* price and calling it "accumulating." - Setting a tight 3% stop on a stock whose ATR is 4% — you'll be stopped out by normal noise before the trend even starts. - Confusing a positional thesis with an intraday one and panic-selling on a red opening. - Selling a great trend one month before 12 months and paying full STCG for no reason.

Checklist / drill

Before entering a positional trend trade: - ☐ Higher-timeframe (weekly) trend is up; price above rising 20-week EMA. - ☐ Clear base/pivot breakout on above-average volume. - ☐ Relative strength vs Nifty positive (stock outperforming the index). - ☐ Stock is liquid (delivery-able size without impact); F&O availability a bonus for hedging. - ☐ Risk per trade fixed (e.g., 1-1.5% of capital); share count = risk $\div$ (entry – stop). - ☐ Pyramiding plan written: add levels, and each add's stop keeps *total* risk bounded. - ☐ Trail rule chosen in advance (weekly 20-EMA / 3 $\times$ ATR chandelier / structure).

Drill: Pick 3 stocks in confirmed uptrends. On a weekly chart, mark the last 12 months' 20-EMA. Count how many times a weekly close below it would have exited you — and how much of the total move you'd have kept. This teaches you, viscerally, that fewer decisions capture bigger trends.

Rules and rates cited are as of 2026 (Budget 2026 / FY2026-27). Verify current STT, settlement cycle, and tax treatment on NSE, your broker, and SEBI before trading — rules change.

Stock Selection & Screening

Why this matters — the pro vs retail gap this closes

Retail traders pick stocks the way they pick movies — a tip on a WhatsApp group, a stock "in the news," a name their uncle bought. Then they wonder why the position won't move, or gaps 15% against them on a result day, or can't be exited without a 2% slippage. The professional starts one level higher: *build a universe, filter it hard, and only then look at charts*. Selection is 80% of the outcome; a great pattern on an illiquid, low-relative-strength stock is a trap.

The gap this closes: retail confuses "a stock I like" with "a stock that fits my system." Pros run a repeatable **scan** → **shortlist** → **watchlist** funnel every day, so the chart work happens only on names that already passed liquidity, volatility, and strength filters. In an Indian market of ~2,000 tradeable names, your job is to throw away 1,960 of them fast.

The essentials — India-specific filters

1. Liquidity (the first, non-negotiable filter). You must be able to enter and exit your size without moving the price. - **Value traded:** prefer stocks doing > ₹50 crore/day turnover for swing size; > ₹200 crore/day if you trade large or intraday. - **F&O universe (~180-200 names):** these are pre-vetted by NSE for liquidity and have lot-based futures/options for hedging. For most active traders, restricting to the **F&O list + Nifty 500** is a clean, safe universe. - **Impact cost / spread:** on Kite or NSE, check the bid-ask. A 0.05% spread (e.g., ₹0.50 on a ₹1,000 stock) is fine; a ₹3 spread on a ₹300 stock is a red flag. - **Avoid:** anything hitting frequent circuits, SME board names, and illiquid microcaps — a stop-loss is worthless if there's no buyer.

2. Volatility (ATR) — is there enough movement to pay you? - ATR% = 14-day ATR ÷ price. A stock with ATR% of 0.8% barely moves; 2-4% is a healthy swing candidate; > 6% is a war zone that needs smaller size. - ATR also *sizes* the position (shares = rupee-risk ÷ ATR-based stop) and sets realistic targets.

3. Beta — how it moves vs the index. - Beta > 1 (e.g., many PSU banks, metals, realty) amplifies Nifty moves — good in a strong trend, brutal in a reversal. - **Beta < 1** (FMCG, pharma) is defensive. Match beta to your market-regime read (next chapter).

4. Relative Strength (RS) vs Nifty — the money filter. - RS line = stock price ÷ Nifty. Rising RS = the stock is outperforming the index. In an uptrend you want the strongest RS names (leaders); in a downtrend, weak-RS names are your short/avoid list. - A simple proxy: compare the stock's 3-month and 6-month return to Nifty's. Leaders beat the index; laggards don't.

5. Sector strength. Stocks move ~50% with their sector. Rank the NSE sectoral indices (Bank Nifty, Nifty IT, Nifty Auto, Nifty Pharma, Nifty Metal, Nifty PSE, etc.) by 1-month return and trade *leaders in leading sectors*. A great chart in the worst sector usually fails.

Worked example — from scan to watchlist

Goal: a swing-long watchlist for the coming week. Capital ₹5,00,000, risk 1.5% (₹7,500) per trade.

Step 1 — Universe. Start with the **F&O + Nifty 500** list.

Step 2 — Chartink scan (long swing). Build a scan with these clauses: - Daily close > **50-DMA > 200-DMA** (uptrend structure). - **Volume today > 1.5 × 20-day average volume** (participation). - **Close within 3% of**

20-day high (breakout proximity). - **Turnover > ₹50 crore** (liquidity — approximate via close × volume).

Say this returns **28 stocks**.

Step 3 — Rank by relative strength & sector. Cross-check each against Nifty's 1-month and 3-month return; keep only names beating Nifty on both. Rank the parent sectors; keep names in the **top-3 sectors** (say Auto and PSE are leading). This trims 28 → **9 names**.

Step 4 — Volatility / tradeability sanity check for each survivor: - Stock A: ₹1,240, ATR ≈ ₹31 (ATR% 2.5%), turnover ₹310 cr, beta 1.2, RS rising. **Keep**. - Stock B: ₹95, ATR% 6.5%, turnover ₹40 cr, frequent gaps. **Drop** (illiquid + too wild for size). - ...repeat.

Step 5 — Final watchlist (5 names) with pre-computed levels:

Stock	Price	Entry trigger	Stop (≈1×ATR below)	Shares (₹7,500 risk)	Position value
A	₹1,240	> ₹1,255	₹1,209 (₹46 risk)	163	₹2.02L
C	₹640	> ₹648	₹620 (₹28 risk)	268	₹1.71L
D	₹2,150	> ₹2,180	₹2,095 (₹85 risk)	88	₹1.89L

Now you have a *plan*: exact triggers, stops, and sizes on 5 pre-vetted names — not a vague list of "stocks I'm watching."

How pros do it / common mistakes

Pros: - **Trade the leaders, not the laggards.** In a bull leg, buy the strongest-RS stock in the strongest sector, not the "cheap" one that "hasn't moved yet." - **Let the scan do the rejecting.** They review 15-30 pre-filtered names in 10 minutes, not 500 charts. - **Match instrument to size.** Big size → F&O-universe large caps; small size → can venture into midcaps with acceptable liquidity. - **Re-run the sector ranking weekly** — leadership rotates (IT → PSU → pharma → capex).

Retail errors / red flags: - Buying illiquid microcaps and SME names, then being unable to exit on bad news. - Chasing "news" stocks after the move, at the top of a spike. - Ignoring relative strength — buying a stock down 20% "because it's cheap" while the index rips. - Same share count on a ₹150 stock and a ₹3,000 stock (no volatility-based sizing). - One giant scan that returns 200 names and paralysis — no ranking, no shortlist.

Checklist / drill

Selection checklist (a stock must pass ALL): - ☐ In your defined universe (F&O + Nifty 500). - ☐ Turnover > ₹50 cr/day (> ₹200 cr for large/intraday size). - ☐ Tradeable spread / impact cost (checked on Kite/NSE). - ☐ Trend structure aligned (e.g., 50-DMA > 200-DMA for longs). - ☐ Relative strength vs Nifty positive on 1M and 3M. - ☐ In a top-3 ranked sector. - ☐ ATR% in your comfort band (≈ 2-4%); size computed from ATR. - ☐ Entry trigger, stop, and share count written before market open.

Drill: Every evening for 10 trading days, run one Chartink scan and rank the sectoral indices. Force yourself to output exactly **5 names** with triggers/stops/sizes each night. After 10 days you'll have a repeatable funnel and a feel for how leadership rotates — the core professional habit this chapter installs.

Filters, thresholds, and the F&O list are illustrative as of 2026. Verify current F&O eligibility, turnover, and lot sizes on NSE and your broker — the list and rules change.

Reading Market Regime: Trend, Range or Volatile

Why this matters — the pro vs retail gap this closes

The single most expensive retail mistake is running the wrong strategy for the day's *regime*. A trend-following breakout system is a money-printer in a trending market and a paper-shredder in a choppy one — same rules, opposite outcomes, and the only variable that changed was the market's character. Retail traders don't even measure regime; they apply one style (usually breakout buying) in all conditions and then blame "the system" when 60% of days chop them to death.

The gap this closes: pros first ask "*what kind of market is this?*" and only then decide *how* to trade — or whether to trade at all. Nifty and Bank Nifty spend a large fraction of days in range/chop, where the highest-value skill is **doing nothing** or switching to mean-reversion. Reading regime tells you which of your edges is live today.

The essentials — measuring regime in Indian markets

There are three regimes: **Trending** (directional, follow-through), **Ranging** (sideways, mean-reverting), and **Volatile/News-driven** (large two-way swings, gaps, low predictability).

1. ADX (trend strength, not direction). - **ADX < 20:** no trend → **range regime**. Fade extremes, avoid breakouts. - **ADX 20-25 and rising:** trend emerging. - **ADX > 25: trending regime**. Breakouts and pullback-continuation work; mean-reversion is dangerous. - ADX says *how strong*, +DI/-DI say *which way*.

2. Moving-average slope & alignment. - 20/50-DMA **rising and price above** = uptrend; falling and below = downtrend. - **Flat, intertwined MAs with price crossing back and forth** = range. On the Nifty daily, tightly coiled flat MAs are your "sit on your hands" signal.

3. India VIX (the volatility regime gauge — this is the Indian trader's dashboard). - **VIX < 12-13:** calm, complacent — favours range/trend-continuation, tight ranges, theta. - **VIX 13-18:** normal. - **VIX > 18-20:** elevated — **volatile regime**. Expect large intraday swings, gaps, whippy stops; cut size. - **VIX > 25-30:** fear/event mode (elections, budget, global shock). Directional bets are lotteries; size down hard. - Rising VIX into an event (Budget, RBI policy, US Fed, election results) warns of a volatile regime *before* it hits.

4. Market breadth (is the move broad or narrow?). - **Advance-Decline ratio** on NSE, and **% of Nifty 500 above their 50-DMA**. Broad participation (many stocks advancing) confirms a healthy trend; a Nifty up-move on narrow breadth (2-3 heavyweights dragging it) is fragile. - Divergence — index new high but breadth deteriorating — flags an ending trend / coming volatility.

5. Index bias for the day (the morning read). Before 9:15, combine: overnight SGX/GIFT Nifty cue, US close, India VIX level and change, and yesterday's structure. Form a one-line bias: "*Gap-up open, VIX 11 and falling, ADX 28 up — trend-up day, buy pullbacks in leaders.*" vs "*Flat open, VIX 14, ADX 16, MAs flat — range day, fade the extremes of yesterday's range, small size.*"

Regime → style map:

Regime	Signals	Trade this	Avoid this
Trending	ADX > 25, MAs sloped & aligned, broad breadth, VIX calm	Breakouts, pullback-continuation, positional adds	Fading/mean-reversion
Ranging	ADX < 20, flat/tangled MAs, VIX low	Fade range extremes, buy support/sell resistance, reduce frequency	Breakout systems (fakeouts)
Volatile	VIX > 18-20, gaps, breadth divergence, event day	Small size, wider stops, wait for post-event clarity	Big directional bets, tight stops

Worked example — a Nifty regime decision

Pre-market, a Wednesday. You want to trade Nifty/Bank Nifty index bias and 2-3 stocks.

Data: - GIFT Nifty points to a **flat-to-slightly-down** open. - **India VIX = 21.5, up from 16** two days ago (an RBI policy is Friday). - **Nifty daily ADX = 17** and drifting down; 20- and 50-DMA are **flat and intertwined** around 24,000; Nifty has oscillated 23,800-24,200 for two weeks. - **Breadth:** yesterday's advance-decline was roughly even.

Read: ADX < 20 + flat MAs = **range**; but **VIX 21.5 and rising into an event = volatile overlay**. So: *range-bound but jumpy* — the worst environment for breakout trend systems and the best for getting chopped.

Decision: - **Do NOT** take Nifty breakout trades above 24,200 or below 23,800 — high fakeout risk with rising VIX. - If anything, **fade the extremes with small size**: e.g., near 23,820 support look for a reversal long targeting mid-range 24,000, stop 23,760. Half your normal size because VIX is elevated. - **Reduce stock exposure**; skip high-beta names (PSU banks, metals) that will whip. - **Plan to stand aside Thursday-Friday** around the RBI event; re-assess regime *after* the policy, when ADX/VIX resolve.

Net result: on a day retail loses money buying a false breakout, the regime read keeps you small or flat. *Not trading is a position.*

How pros do it / common mistakes

Pros: - **Check regime first, strategy second, every single morning.** - **Cut size as VIX rises** — position size is inversely scaled to volatility. - **Stand aside around known events** (Budget, RBI, Fed, election counting days, monthly expiry chop) unless the setup is specifically an event play. - **Respect breadth** — they trust a trend only when many stocks confirm it.

Retail errors / red flags: - Running the same breakout system on every day regardless of ADX/VIX. - Buying breakouts on a low-ADX range day → serial fakeouts. - Ignoring India VIX entirely, then getting stopped out by "random" spikes that were just an elevated-VIX regime. - Full size into Budget day or RBI policy and getting gapped through the stop. - Believing a Nifty new high made by 3 heavyweights while 300 stocks fall.

Checklist / drill

Morning regime-decision checklist (before 9:15): - ☐ India VIX level and 2-day change noted (calm / normal / elevated / fear). - ☐ Nifty daily ADX read (< 20 range, > 25 trend) and +DI/-DI direction. - ☐ 20/50-DMA slope & alignment (sloped = trend, flat/tangled = range). - ☐ Breadth check (advance-decline, % above 50-DMA) — broad or narrow? - ☐ Event calendar checked (RBI, Budget, Fed, expiry, election counts,

big results). - □ Overnight cue (GIFT Nifty, US close) → gap expectation. - □ One-line index bias written: regime + what to trade + what to avoid + size adjustment.

Drill: For 15 trading days, log each morning: VIX, Nifty ADX, MA state, breadth, and your one-line regime call — then at close, mark whether the day was trend/range/volatile and whether your call was right. Within two weeks you'll predict the regime better than most retail traders ever do, and you'll see how often the correct answer was "range — trade small or not at all."

India VIX bands, ADX thresholds, and event examples are guidance as of 2026. Levels and event dates change — verify on NSE and the RBI/SEBI calendars.

Multi-Timeframe Execution & Trade Management

Why this matters — the pro vs retail gap this closes

Two traders take the same stock. One buys on a 5-minute breakout with no idea what the daily chart is doing, gets a good fill, and is stopped out an hour later because the daily trend was down and price mean-reverted straight into his stop. The other checks the *daily* for direction, drops to the *hourly* for structure, and enters on the *15-minute* — same stock, but the trade is aligned with the dominant force. Over a hundred trades, that alignment is the difference between a coin flip and an edge.

The gap this closes: retail trades a single timeframe and treats *entry* as the whole game. Pros treat entry as maybe 20% of it. The other 80% is **trade management** — where the stop is, when it moves to breakeven, when to book partial, and when to *do nothing* and let a winner run. Most retail P&L damage isn't bad entries; it's cutting winners at +1R and letting losers run to -3R. This chapter fixes the management, top-down.

The essentials — top-down structure

The three-timeframe stack (choose a ~1:4-6 ratio between them):

Role	Swing trader	Intraday trader
Trend (context)	Weekly / Daily	Daily / Hourly
Setup (structure)	Daily / 4-hour	Hourly / 15-min
Trigger (entry)	Hourly / 15-min	5-min / 3-min

Rule: the higher timeframe decides *direction and bias*; you only take lower-timeframe entries *in that direction*. If the daily is up, you buy 15-minute pullbacks/breakouts; you do NOT short 15-minute reversals against it. This one rule removes most low-quality trades.

Position management building blocks: - **Initial stop** placed on the *setup* timeframe (below the structure that would invalidate the trade), not an arbitrary %. - **1R** = your initial risk per share (entry – stop). All management is measured in R. - **Scale in:** enter partial on the trigger, add on confirmation (a higher timeframe close, or a retest that holds). - **Move to breakeven:** once price reaches ~+1R, trail the stop to entry — the trade can no longer lose money. (Don't do this too early or normal noise stops you flat.) - **Partial booking:** sell a portion (e.g., one-third to half) at a defined target (+1.5R to +2R, or a resistance/prior high) to reduce risk and lock cash. - **Let the runner run:** trail the remainder on the *setup* or *trend* timeframe (swing low, MA, or ATR chandelier) so the last piece can catch an outsized move.

India-specific execution notes (2026 — verify on your broker/NSE): - Timings 9:15-15:30; the first 15-30 min and last 30 min are the most liquid/volatile. Avoid resting wide stops through the volatile open. - Use **limit orders** near support to control slippage; **SL-L (stop-loss limit)** for stops, aware that a fast gap can jump a limit stop — for hard protection consider SL-M where offered. - Costs stack on every scale-in/out: brokerage + STT (delivery 0.1% buy+sell; intraday 0.025% on sell — from 01-Apr-2026) + exchange txn + SEBI + 18% GST on (brokerage+txn) + stamp duty. Over-scaling a small position gets eaten by charges — scale in *meaningful* chunks. - **SEBI retail algo framework (mandatory 01-Apr-2026):** if you automate any of this scaling/trailing, every algo order needs an exchange Algo-ID via your *registered broker's* API;

open/unregistered APIs are banned. Manual discretionary management needs none of this. *Verify current rules on SEBI/NSE.*

Worked example — an MTF equity swing trade

Stock: liquid F&O-universe name, cash/delivery. Capital ₹5,00,000, risk 1% (₹5,000) per trade.

Top-down read: - **Weekly:** uptrend, above rising 20-week EMA → longs only. - **Daily:** pulling back into a rising 50-DMA at ~₹800, holding support. - **Hourly (setup):** builds a small base ₹800-₹815; a break of ₹815 triggers. - **15-min (trigger):** breaks ₹815 on a volume push.

Entry & sizing: - Setup-timeframe (hourly) invalidation: a close below ₹792. Entry ₹816, stop ₹792 → **1R = ₹24/share**. - Shares = ₹5,000 ÷ ₹24 = **208**. Scale-in plan: buy 140 now, keep 68 for an add. - Buy 1: **140 @ ₹816 = ₹1,14,240**.

Add (confirmation): price closes the hour at ₹828 above the breakout and holds a retest of ₹818. Add the remaining **68 @ ₹826 = ₹56,168**. Blended entry ≈ ₹819, total 208 shares, invested ≈ **₹1,70,400**. Raise stop to **₹805** (below the retest low) — open risk now ≈ $208 \times ₹14 = ₹2,912$, well under budget.

Management as it works: - Price reaches **₹843** (≈ +1R from blended entry). **Move stop to breakeven ₹819**. The trade is now risk-free. - Price tags a prior swing high / +2R at **₹867**. **Book partial:** sell 100 @ ₹867 = ₹86,700 (locks ≈ ₹4,800 gross on that half). Remaining: **108 shares**. - **Let the runner run:** trail the 108 on the daily 20-EMA / swing lows. Over three weeks price grinds to **₹930**, then closes a day below the 20-EMA at **₹918**. - **Exit runner:** sell 108 @ ₹918 = ₹99,144.

Result: proceeds ₹86,700 + ₹99,144 = ₹1,85,844 on ₹1,70,400 invested → ≈ **₹15,400 gross** (minus a few hundred rupees of STT/charges across the scales). Risk taken was ₹5,000; realised ≈ +3R, because the *management* (breakeven move, partial, trailing runner) captured a move far bigger than the initial +2R target — while never risking more than 1%.

How pros do it / common mistakes

Pros: - **Direction from the top, timing from the bottom** — always aligned. - **Manage in R, not rupees or emotions**. Breakeven at ~+1R, partial at a planned level, runner trailed on the higher timeframe. - **Do less to the winner**. Once it's working and stop is at breakeven, they mostly *sit* and let the trail do the exiting. - **Pre-write the whole plan** — entry, stop, add level, breakeven trigger, partial target, trail rule — *before* entering.

Retail errors / red flags: - Entering on a 5-min signal against the daily trend ("counter-trend martyrdom"). - Moving the stop to breakeven at +0.2R and getting shaken out of every trade by noise. - Booking the *whole* position at +1R, then watching a +5R move without you. - Moving a stop *further away* when the trade goes against them (the account-killer). - Over-scaling a tiny position into 6 tranches and donating the edge to STT/brokerage. - Managing a swing trade on the 3-minute chart and panic-exiting on intraday noise.

Checklist / drill

Per-trade management checklist: - ☐ Higher-timeframe trend identified; trade is *with* it. - ☐ Setup-timeframe structure + invalidation level chosen → defines the stop. - ☐ 1R (entry – stop) computed; shares = risk-budget ÷ 1R. - ☐ Scale-in plan: first tranche + add trigger written. - ☐ Breakeven rule set (move stop to entry at ~+1R). - ☐ Partial-booking level set (+1.5-2R or a resistance/prior high). - ☐ Runner trail rule set

(swing low / 20-EMA / ATR chandelier) on the setup or trend timeframe. - ☐ Managing on the *setup* timeframe, not the trigger timeframe — no panic exits on noise.

Drill: Take 10 past trades on your charts. For each, mark: higher-TF trend, entry, initial stop (1R), the +1R breakeven point, a +2R partial, and where a 20-EMA trail would have exited the runner. Compare the disciplined-management result to what you actually did. Almost everyone finds the same lesson — their entries were fine; their management gave the edge back. Fixing that, not finding a better indicator, is the leap to professional.

STT, GST, settlement, and the SEBI retail-algo rules cited are as of 2026 (Budget 2026 / effective 01-Apr-2026). Verify current charges, order types, and algo requirements on NSE, your broker, and SEBI — rules change.

The Pre-Market Routine & Watchlist

Why this matters — the pro vs retail gap this closes

The retail trader opens Kite at 9:14, sees Nifty is "up", buys whatever moved yesterday, and is stopped out by 9:35. The professional walked into 9:15 already knowing three things the amateur doesn't: (1) *why* the market is likely to open where it will, (2) a short list of 5-8 instruments with pre-drawn levels, and (3) the single rupee figure that ends his trading day if he loses it. The gap this chapter closes is **preparation as an edge**. Your options book taught you Greeks; your TA guide taught you patterns. Neither matters if you enter the day blind, oversized, and reacting. India's cash session is only 6 hours 15 minutes (9:15-15:30), and the first 15-45 minutes carry most of the day's directional information and most of the day's traps. A repeatable 30-minute morning routine — done *before* 9:15 — is the cheapest performance upgrade available to you, and unlike a strategy it cannot be arbitrated away.

The essentials — the India pre-market stack

(Rules and mechanics current as of July 2026 — verify on NSE/broker/SEBI, rules change.)

Session clock (IST):

Segment	Window
NSE pre-open (equity)	09:00-09:15 (order collection 09:00-09:08, matching/price discovery 09:08-09:12)
Normal equity/F&O market	09:15-15:30
Closing session	15:40-16:00
GIFT Nifty (NSE IX, GIFT City)	~06:30-15:40 and ~16:35-02:45 (nearly 21 hrs)
MCX (crude, gold, base metals)	09:00-23:30 (23:55 on DST)

Global cues to read (in order of impact on the Nifty open):

1. **GIFT Nifty** (replaced SGX Nifty in 2023) — the single best real-time proxy for the Nifty open. If GIFT Nifty trades ~100 pts above the previous Nifty futures close, expect a gap-up open of roughly that size. Read the *premium/discount to spot*, not just the number.
2. **US close (prior night)**: S&P 500, Nasdaq, Dow. Nasdaq matters most for Indian IT (TCS, Infosys, HCLTech).
3. **US futures + Asian markets live (this morning)**: Nikkei, Hang Seng, Kospi, and S&P futures — these move GIFT Nifty in real time.
4. **Brent crude / WTI**: rising crude hurts OMCs (BPCL/HPCL/IOC), paints, aviation (IndiGo), tyres; helps ONGC/Oil India.
5. **USDINR**: a weaker rupee (say 87.20 → 87.60) is a tailwind for IT/pharma exporters, a headwind for importers.
6. **India VIX**: below ~12 = complacent/range day likely; above ~18 = expect wide ranges, cut size.
7. **FII/DII provisional flows** (previous day, ~17:30 NSE) and **FII index-futures long/short ratio** — persistent FII selling caps rallies.

Event/results calendar to check every morning: quarterly results (peak in Jan/Apr/Jul/Oct), RBI MPC dates, US Fed (FOMC) nights, US CPI/NFP, India CPI/IIP, F&O expiry (Nifty weekly Thursday, Bank Nifty monthly last Thursday — *verify current expiry days on NSE, they have changed repeatedly*), and index rebalancing. Never carry a fresh position into a result you didn't know was coming.

Gap classification (open vs previous close): flat < 0.3%, moderate gap 0.3-0.8%, large gap > 0.8%. Large gaps into empty space tend to *continue*; gaps back into the prior day's range tend to *fill*.

Worked example — a Monday morning routine, 08:45-09:15

Assume Friday's Nifty spot closed **24,180**; Nifty futures **24,205**. It's 08:45 IST Monday.

- **GIFT Nifty** is at **24,320**, i.e. ~+115 over Friday futures. Signal: **gap-up** $\approx$ **+0.55%** (moderate-to-large).
- **US Friday:** Nasdaq +1.1%. **Asia now:** Nikkei +0.8%. **Brent** \$79 (flat). **USDINR** 87.45 (rupee slightly weak → IT tailwind). **India VIX** 11.8 (low).
- **Calendar:** Reliance reports Q1 results *today after market*. No RBI/Fed. Thursday is weekly expiry.
- **Read:** Broad-based gap-up led by IT, low VIX = likely trend-up-then-grind day, but Reliance is an event-risk landmine into the close.

Watchlist built (5 names + levels):

Instrument	Bias	Key level	Plan
Nifty (index)	Long above open	24,320 open / 24,180 Fri close	Long only above 24,320 hold; invalidation 24,180
Infosys	Long	1,585 (Fri high)	Buy break-retest of 1,585, SL 1,566
TCS	Long	3,410	Momentum continuation
Reliance	AVOID intraday	—	Result today; no fresh position
HDFC Bank	Neutral/laggard	1,690	Fade into 1,710, or short below 1,682

Max risk for the day: Capital ₹5,00,000. Daily stop = **1% = ₹5,000**. Per-trade risk = 0.4% = ₹2,000. On Infosys, entry 1,586, SL 1,566 = ₹20/share risk → max **100 shares** (₹2,000 ÷ ₹20). That single arithmetic step — *risk-first position sizing* — is what most retail traders never do. If two trades hit stops (–₹4,000), one more losing trade ends the day. That rule alone prevents the revenge-trading blowup.

How pros do it / common mistakes

How pros do it: They separate *analysis* (done before 9:15) from *execution* (done after). They never trade the pre-open matching prints as if they're real liquidity. They wait out the first 5-15 minutes ("the 9:15 fakeout") on gap days rather than chasing the opening tick. They pre-commit levels in writing, so the decision is "did price reach my level?" not "do I feel like it?". They log the day's plan and grade themselves against it at 15:30.

Classic retail errors & red flags: - Chasing the gap-up at 9:15:03 with no level and no stop. - Confusing GIFT Nifty's *absolute* value with its premium — reading direction wrong. - Trading into an event they didn't check (a result, RBI, US CPI night) and blaming "manipulation". - No daily max-loss, so a –₹5,000 morning becomes a –₹40,000 afternoon via averaging down. - A 40-name watchlist = a 0-name watchlist. You cannot watch 40 charts; you will trade the loudest, not the best. - Ignoring costs: on intraday equity, STT is 0.025%

on the sell side (from 01-Apr-2026) plus brokerage + exchange txn + 18% GST + stamp duty — verify the exact stack on your broker's contract note.

Checklist / drill

The 30-minute pre-market checklist (run 08:45-09:15 daily):

1. [] GIFT Nifty level *and* premium/discount → expected gap %.
2. [] US close + Asia-live + S&P futures direction.
3. [] Brent, USDINR, India VIX noted.
4. [] FII/DII provisional (prev day) + FII futures long/short.
5. [] Events today: results / RBI / Fed / US data / expiry day?
6. [] Classify the likely open: flat / moderate gap / large gap; continuation vs fill.
7. [] Build watchlist: **max 5-8** names, each with bias + one key level + invalidation.
8. [] Write **daily max loss** (₹) and **per-trade risk** (₹); compute share/lot size from SL distance.
9. [] Decide what you will *not* trade today (event landmines).
10. [] Screenshot/save the plan. Grade against it at 15:30.

Drill (2 weeks): Every morning, write your gap prediction from GIFT Nifty at 09:00, then record the actual 09:15 open. Track your error in points. Within 10 sessions you'll internalize how premium translates to the open — a skill no indicator gives you.

The Equity Playbook: 10 Concrete Setups

Why this matters — the pro vs retail gap this closes

Retail traders collect *indicators*; professionals collect *setups*. An indicator tells you what happened; a setup is a complete, pre-defined package: entry trigger, stop location, target, the market regime it works in, and the position size. The difference is that a setup can be back-tested, journaled, and repeated — and a "feeling about RSI" cannot. Your TA guide taught you candlesticks and patterns; this chapter turns that vocabulary into **10 mechanical plays** you can run on NSE cash and index instruments. The honest truth first: most retail traders lose money net of costs, and the main reasons are (1) trading every setup in every regime, and (2) sizing by gut. A playbook fixes the first; risk-first sizing fixes the second. No setup here has an edge above ~55% hit rate — the edge lives in *selection, regime-matching, and R-multiples*, not in a magic entry.

The essentials — the 10 setups

(Costs referenced are current as of July 2026 — intraday equity STT 0.025% on sell, delivery 0.1% buy+sell, plus brokerage + exchange txn + 18% GST + stamp duty. Verify on your broker/NSE/SEBI; rules change.)

Regime tags: **TREND** (index trending, India VIX rising or > 14), **RANGE** (VIX low < 12, choppy), **ANY** (works in most conditions with discipline).

#	Setup	Regime	Entry trigger	Stop	Target	Notes / filter
1	Opening Range Breakout (ORB)	TREND	Break of the 9:15-9:30 15-min range high (long) / low (short)	Other side of the 15-min range	1× to 2× the range width	Best on gap-and-go days; skip if range < 0.3% (no energy). Avoid on flat expiry mornings.
2	VWAP reversion	RANGE	Price stretches 1.5-2% from VWAP then prints a rejection candle back toward it	Beyond the stretch extreme	VWAP (the mean)	Only in low-VIX, no-news chop; deadly in trends. Use anchored VWAP from the open.
3	Gap-fill	ANY (fade)	Moderate gap (0.3-0.8%) <i>into</i> prior day's range that stalls in first 20 min	Above the gap high (for a short-to-fill)	Previous close (the gap origin)	Fade gaps <i>into</i> range; never fade a large gap into empty space (that continues).
4	Breakout-retest	TREND	Price breaks a level, pulls back, holds the level as support, then resumes	Just below the retested level	Measured move = pattern height	The highest-quality long. Waiting for the retest filters 60% of false breakouts.
5	Trend pullback (MA)	TREND	In an uptrend, price pulls to rising 20-EMA (or 50-EMA on daily) and prints a reversal candle	Below the pullback swing low	Prior swing high, then trail	Trade <i>with</i> the higher-timeframe trend only. Don't buy the first touch in a downtrend.
6	52-week-high momentum	TREND	Stock makes a new 52w high on above-average volume; buy the break or first pullback	Below breakout day's low / 8-10% swing (positional)	Trail; no fixed target on strong momentum	Volume must expand > 1.5× 20-day avg. Weak-volume new highs fail.
7	Range-fade	RANGE	Price tags a well-defined multi-day support/resistance and rejects	Just beyond the range boundary	Opposite side of the range	Needs ≥ 2 prior touches to define the range. First breakout of the range invalidates it.
8	First red / first green day	ANY	After an extended run, the first strong counter-day signals momentum exhaustion / reset	Beyond that day's extreme	1-2 day mean-reversion move	A positional/swing timing tool, not a scalp. Confirm with volume and breadth.
9	Inside bar	ANY	A daily/hourly bar fully inside the prior bar's range; enter on break of the mother bar	Other end of the mother bar	1× mother-bar height, then trail	Tight, defined risk. Best when it forms at a key level or after a trend pause.
10	Sector-leader	TREND	Trade the <i>strongest</i> stock in the day's	Stock's structural swing low	Trail with the sector	Rank sectors by % change at 9:45; the

#	Setup	Regime	Entry trigger	Stop	Target	Notes / filter
			leading sector (e.g. IT if Nifty IT leads)			leader's leader has the cleanest trend.

Worked example — ORB on Infosys (real numbers)

Setup #1, TREND day. Nifty gaps up +0.5%, IT leads. Infosys (INFY) opens 1,590.

- **9:15-9:30 range:** high 1,598, low 1,584 → range width **₹14**. That's ~0.9% — enough energy.
- **Entry:** 1,598.50 on the 15-min high break, on rising volume.
- **Stop:** below the range low, **1,583** → risk = **₹15.50/share**.
- **Target 1:** $1 \times \text{range} = 1,598 + 14 = \mathbf{1,612}$; **Target 2:** $2 \times = \mathbf{1,626}$.
- **Sizing:** ₹5,00,000 capital, per-trade risk 0.4% = **₹2,000**. Shares = $2,000 \div 15.5 \approx \mathbf{129 \text{ shares}}$ (round to 125). Position value $\approx ₹2,00,000$ (needs MTF or delivery cash; verify intraday margin with your broker).
- **Outcome:** exits half at 1,612 (+₹1.75k on 62 shares = ~₹875), trails the rest, second half stops at breakeven-plus. **R-multiple $\approx +1.0R$ to $+1.3R$.**
- **Costs check (intraday, both legs $\approx ₹4L$ turnover):** STT 0.025% on ~₹2L sell $\approx ₹50$; brokerage (₹20 flat/leg typical discount broker) ₹40; exchange txn $\approx ₹12$; GST 18% on (brokerage+txn) $\approx ₹9$; stamp $\approx ₹6$ → total $\approx \mathbf{₹120}$. A +₹875 gross trade nets ~₹755. On a 129-share loser (−₹2,000), costs still apply — **your edge must clear costs on every scalp**, which is why sub-1R scalping rarely survives.

How pros do it / common mistakes

How pros do it: They run **2-3 setups they've mastered**, not all ten. Each setup is tagged to a regime and they *sit out* when the regime doesn't match — a range-fader does nothing on a strong trend day, and that discipline *is* the edge. They journal every trade by setup name, so after 100 trades they know which setup pays them and cut the rest. They take partial profits and trail, converting hit-rate into R-multiples. They accept a 45-55% win rate and win because winners run 1.5-2R while losers are capped at 1R.

Classic retail errors & red flags: - Running all 10 setups simultaneously → forcing trades in the wrong regime (fading a runaway trend, chasing breakouts in chop). - No range/volume filter on ORB → trading a 0.15% opening range that's pure noise. - Fading large gaps into empty space (setup #3 misused) — the single most expensive beginner mistake. - Moving the stop "to give it room" — the fastest path to a −4R loss. - Ignoring the cost stack and over-trading: 20 scalps/day at ₹120 each = ₹2,400 of guaranteed friction before any P&L. - No position sizing — same quantity on a ₹15 stop and a ₹60 stop, so one loser wipes four winners.

Checklist / drill

Per-trade checklist (before every entry):

1. [] Which named setup is this? (If you can't name it, don't take it.)
2. [] Does today's regime (VIX, trend/range) match the setup's tag?
3. [] Exact entry trigger, stop level, and first target written *before* entry.
4. [] $R:R \geq 1.5$? If not, skip.
5. [] Shares = (per-trade risk ₹) $\div$ (entry − stop). Never override this.

6. [] Does expected profit clear the cost stack comfortably?

7. [] Am I within my daily max loss? (If two stops already hit, stop trading.)

Drill (30 sessions): Pick **one** setup (e.g. Breakout-retest #4). Paper- or micro-trade *only that setup* for 30 sessions. Log entry, stop, target, regime, R-multiple, and cost. At the end, compute win rate, average R, and expectancy = $(\text{win}\% \times \text{avg-win-R}) - (\text{loss}\% \times \text{avg-loss-R})$. If expectancy > 0 after costs, size up; if not, the setup — or your execution of it — has no edge, and no amount of new indicators will fix that.